their finances, like saving, investing, insurance, paying taxes and spending money smartly. However, that is not the case with everyone. The decision to do it on your own may not always work, which is when engaging a qualified and experienced advisor comes in handy.

Often, the decision to do it yourself stems from the fact that one pays a commission or fees when one engages an expert. Strangely, we see no such cost when it comes to engaging a mechanic to repair the car or an electrician to repair a washing machine. In an attempt to save a little money, we could end up losing a big-time opportunity to create wealth or view our financial health wrongly. Take, for instance, health insurance—zeroing in on a plan solely on the basis of the lowest premium being the best is a recipe for disaster.

While it may save you money, ignoring the claim repayment history of the insurer or not looking deeper into the policy terms and conditions and understanding them could cost you heavily when a medical crisis is upon you. Imagine your insurance claim being rejected because the terms and conditions mention that claims will be entertained only after one year of the policy being in force. In contrast, engaging an advisor or an expert would help you focus on the best benefits from a financial instrument instead of looking only at costs.

Many a time, personal finance appears to be deceptively simple. This is because of what is called 'hindsight bias'. For instance, if you look up any financial goal calculator and fill in some data, the sure-shot way to become a *crorepati* is to invest Rs 15,000 every month for 15 years in a financial instrument that earns 15 per cent every year. Breaking down investing to this level makes it look like a cakewalk. However, if your choice instrument to achieve this goal earns only 14 per cent, which is just 1 percentage point lower, the impact is dramatic. You need to then invest Rs 17,700 each month or Rs 2,700 more each month, which adds up to another Rs 4.86 lakh over 15 years.

"WHAT DECIDES YOUR WEALTH IS NOT HOW MUCH YOU MAKE BUT HOW MUCH YOU KEEP OF WHAT YOU MAKE"

–David Bach
Finance expert and best-selling author of the* Finish Rich *series



In this example, we are completely ignoring the role of inflation over the 15-year period for the investment to grow. The point to understand here is that not all financial decisions are as simple as they appear in hindsight (see *Bad Decision Triggers*) because, often, we make bad decisions due to several well-known factors. There is a lot of risk when you take financial decisions on your own versus engaging an expert. You should base your decision not just on numbers but view it holistically to evaluate how it would impact your financial life.

It is easy to make bad financial decisions, but for you to make good decisions, you need to develop good habits that can help minimise the chances of making a bad decision. Set meaningful financial goals, learn and understand the impact of financial instruments and its impact on your life and finances. Take help where necessary and avoid taking bad decisions that could lead to disastrous financial outcomes. ■